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Exploring the Anti-trust Risks to Big Tech

Our view: We hosted a webinar with Evercore ISI Policy Analysts, Sarah Bianchi and Tobin Marcus, to discuss their [recent note](#) on the risk to Big Tech from the new FTC chair Lina Khan, and five new House anti-trust bills. Our collective view is that FB faces the least risk of structural changes to its business practices from legislative or regulatory action while AAPL faces the most risk with GOOGL and AMZN trailing not far behind. A replay of the webinar can be found [here](#).

Two Material Updates Since Our 06/16 Note – i) Judge Dismisses Anti-trust lawsuits against FB: On 06/29, U.S. District Judge James Boasberg granted FB's requests to dismiss lawsuits filed against the company on the basis that the FTC and 46 states provided insufficient evidence to prove that FB was a monopoly and that the AGs waited too long (i.e., 8 years since the Instagram acquisition) to bring their claims. However, the commission has 30 days to file an amended lawsuit, which Bianchi and Marcus expect them to do. The Judge was sympathetic to Facebook's complaint about the lawsuit's market definition of "social media" but less sympathetic to their arguments about them having little control over the market. The Evercore ISI policy analysts agreed that this recent court ruling was indeed a significant blow to the FTC and expect it to be an uphill battle for the agency. That said, they agreed that if this case does indeed fail it will underscore the need for broader anti-trust reform and an extension of the scope of what has traditionally been the focus on anti-trust laws (i.e., consumer welfare); **ii) Amazon Moves To Bar Lina Khan:** Today (06/30), Amazon asked for the new FTC chair to recuse herself from issues involving the company alleging that she is unable to approach matters relating to the company with an open mind given her popular "Amazon's Antitrust Paradox" paper she wrote in 2017 while at Yale. If Amazon is successful in this motion it would be a big regulatory win for the company. However, Bianchi believes the odds of this happening are very slim as prior recusals have generally been reserved for individuals that have represented one side or the other in actual cases – not true in the case of Lina Khan. If Amazon is successful, Bianchi would expect AAPL, GOOGL and FB to ask for the same and her view is that Khan would have never been selected as the chairperson of the FTC were she likely to be recused from these cases.

How Khan's FTC is Different – Bianchi and Marcus noted that in the short period since her appointment, Khan has elevated many of Rohit Chopra's advisors to key positions within the agency. Chopra, who has been named the new head of the Consumer Financial Protection Bureau (CFPB), is another FTC commissioner known for being one of the most progressive. These moves by Khan are consistent with expectations that she would be heading a very active FTC. With Chopra stepping down, Biden will need to select another commissioner but in the meantime the agency will be split 2-2 Democratic-Republican. Importantly, Bianchi and Marcus expect the FTC to be unsatisfied by monetary settlements going forwards and instead favor the longer route of structural reform.

"Reigning in Big Tech" is Clearly a Bipartisan Gripe – The narrative that Big Tech has too much power is a rare instance in Washington with clear bipartisan support. Perhaps the only other key issue with similar bipartisan agreement is anti-China sentiment. The two parties have different bones to pick with Big Tech, which can make it more difficult to agree on a set of remedies for the issues: Democrats are frustrated over the lack of accountability (i.e., Section 230) while Republicans are concerned about the anti-conservative bias these companies have. However, the policy analysts also said that bipartisanship can lead to a heightened focus on regulatory and enforcement tools on the political agenda. Bianchi noted that for Biden, this is not just about appeasing the progressive arm of his party: In 2012 he took some heat for questioning Google's hubris and lack of accountability at a time when the company was very popular in his administration. When asked about the importance of the midterms, Bianchi and Marcus noted that the assumed swing towards more Republican representation in the House would be unlikely to affect the outcome of this issue given the amount of bipartisan support required to pass law. Marcus believes it would be unlikely that any form of the five proposed bills get passed before the midterm elections given the heavy slate of "must-do" items before discretionary policy matters like this can be addressed.

Which Of The Four Companies Are Most and Least At Risk? Despite being the consensus "most wanted" company on Capitol Hill, we believe FB faces the least risk of being forced to change their business practices from an anti-trust perspective. The only intelligent anti-trust case to be made against FB is that their Instagram and / or WhatsApp acquisitions were anti-competitive and we believe the bill proposed that includes specific remedies including divestiture is the least likely to get passed. Facebook has little exposure to the other bills as the company doesn't compete in AND operate a marketplace, unlike the other companies. Apple likely faces the greatest risk of business practice reform given the way it operates iOS meets the definition of self-preferencing outlined in the "American Innovation and Choice Online Act" bill. Following closely behind Apple is a tie between Google and Amazon. Some of Washington's biggest woes with Amazon include the treatment of their workers and a push for unionization. Bianchi noted that the company was smart to announce wage hikes for its workers in April as this should appease some of the concerns. When asked which companies were best and worst at government relations, the policy analysts pointed to Apple and Google as having the best relationships and posture in D.C. followed by Amazon and then Facebook.

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Hold	291	35	Hold	38	13
Sell	23	3	Sell	2	9
Coverage Suspended	11	1	Coverage Suspended	4	36
Rating Suspended	11	1	Rating Suspended	3	27

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